

Table 6.5 Asset Allocation Models Tested

# Model	Abbreviation
Naïve	
0. 1/N with rebalancing (<i>benchmark strategy</i>)	ew or 1/N
Classical approach that ignores estimation error	
1. Sample-based mean-variance	mv
Bayesian approach to estimation error	
2. Bayesian diffuse-prior	Not reported
3. Bayes-Stein	bs
4. Bayesian Data-and-Model	dm
Moment restrictions	
5. Minimum-variance	min
6. Value-weighted market portfolio	vw
7. MacKinlay and Pastor's (2000) missing-factor model	mp
Portfolio constraints	
8. Sample-based mean-variance with short-sale constraints	mv-c
9. Bayes-Stein with short-sale constraints	bs-c
10. Minimum-variance with short-sale constraints	Min-c
11. Minimum-variance with generalized constraints	g-min-c
Optimal combinations of portfolios	
12. Kan and Zhou's (2007) “three-fund” model	mv-min
13. Mixture of minimum-variance and 1/N	ew-min
14. Garlappi, Uppal, and Wang's (2007) multi-prior model	Not reported

But the authors didn't stop there. They did the analysis of the different asset allocation techniques on *eight different datasets* to ensure their findings were robust. They examined a variety of sector portfolios, country portfolios, factor portfolios, and even generated simulated data for their horse race across the different asset allocation approaches (see [Table 6.6](#)).